

guidelines are suggestions, not hard rules, so be flexible. Use the figures in this chapter as guidance on what to look for.

Appearance. A head-and-shoulders top pattern can appear in a wide variety of shapes. Consider [Figure 41.3](#). Shown is a head-and-shoulders top, but there are four shoulders and only one head. When a pattern appears with more than the standard two shoulders and one centrally located head, it is called a complex head-and-shoulders top. Complex patterns for both tops and bottoms have their own chapters, but because a complex head-and-shoulders top also contains a (simple) head-and-shoulders top, many appear in this chapter's statistics.

The head-and-shoulders top usually appears at the end of a long uptrend. Sometimes, when the prior uptrend is short, the reversal takes price down to where it started the climb (see [Figure 41.2](#), the launch price at about 8.00). At other times, the decline is usually short (up to 3 months) or intermediate (3 to 6 months), or can signal a change in the primary bullish trend.